

At the other end, the Nexa showrooms have also started pulling their weight. “Nexa’s contribution has increased to over 25% of total sales. Premium models sold under Nexa have higher margins, boosting profitability and subsequently contributing to the growth. Nexa has elevated Maruti’s brand perception among urban buyers, especially in the SUV and compact SUV segments,” adds Sharma.

RURAL COMFORT

In the first half of 2024-25 (H1FY25), rural sales, which account for 46% of total sales, grew 8% even as urban sales declined 2%. But, unlike its peers, Maruti Suzuki remained unfazed.

“This year, rural has been growing faster than urban. We are expanding our reach in the upcountry markets. But there’s a kind of convergence happening. Rural buying behaviour is becoming closer to urban,” says Partho Banerjee, Head of Marketing and Sales of MSIL.

The company is certainly taking heart from the rural revival, as it has a strong foothold in the semi-urban and rural markets. “The company recorded a 12-15%

increase in domestic passenger vehicle sales last year, largely due to demand revival in semi-urban and rural areas, where Maruti has a strong foothold,” says Nomura’s Sharma.

SUV PORTFOLIO

Though Maruti Suzuki was a late entrant in the SUV space, it has managed to corner a 21% market share in terms of volumes as of the September quarter of FY25, according to the Society of Indian Automobile Manufacturers. Maruti Suzuki SUVs account for 27% of its total sales.

According to Nomura’s Sharma, the company’s focus on expanding its SUV portfolio is a big reason for the surge in market cap. “Maruti’s focus on the SUV segment has paid off, with models like the Brezza and Grand Vitara contributing significantly to its volumes. SUV sales surged by nearly 40%, aligning with India’s broader consumer shift towards SUVs,” notes Sharma. For Maruti Suzuki, 39% of SUV customers are first-time buyers.

To capitalise on the shift in customer preference, the company is introducing new SUV models. “At present, the demand has been

skewed towards SUVs, and hence the company’s focus will be towards introducing more SUVs in the domestic market,” Hisashi Takeuchi, Managing Director and Chief Executive Officer of MSIL, said at a recent press conference.

While the company’s SUV portfolio has been thriving, the passenger car segment has been a pain point for Maruti Suzuki. It witnessed a 13.3% decline YoY in the first half of 2024 in the passenger cars segment, which it dominates. The company’s mini and compact sedan and hatchback portfolios declined 12.8% in the first half of 2024-25. For Maruti Suzuki, the sedan segment accounts for 10% of its sales, whereas hatchbacks account for 31% of its total sales.

A worried R.C. Bhargava, Chairman of MSIL, told reporters recently that the sub-₹10 lakh segment, which contributes 18-19% of sales, is witnessing a decline.

As the market leader, Maruti Suzuki accounts for 50% of total domestic sedan sales. It is attempting to revive the sedan segment, which accounts for 8% of sales, by introducing the fourth-generation Dzire with an investment of ₹1,000 crore.

POWERTRAIN PUSH

Another key piece of the Maruti Suzuki strategy is the options it provides prospective buyers in terms of powertrains—petrol, CNG, hybrid, and soon electric.

“We decided to adopt a more diversified approach to meeting national objectives and did not want to put all our eggs in one basket,” Bhargava had said at the 43rd annual general meeting in August.

At present, CNG cars account for more than 30% of Maruti Suzuki’s sales. “Maruti’s CNG vehicles have consistently dominated this segment, contributing to around 15-20% of total sales. With rising

REPORT CARD

➤ Maruti Suzuki’s average market capitalisation jumped 32% during the study period

Company Name	Maruti Suzuki
2024/2023 Rank	14/18
Average Market Capitalisation*	₹3,63,134 crore (32.1%)
Total Income	₹1,45,952 crore (20.9%)
Profit After Tax	₹13,488 crore (63.2%)
ROE	16.8%
TTM P/E Multiple	24.73

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023, TO SEPTEMBER 30, 2024; **TTM** IS TRAILING 12 MONTHS; **P/E** IS PRICE-TO-EARNINGS; TOTAL INCOME, PAT, ROE FOR FY24; **FIGURES** IN BRACKETS ARE YOY CHANGE IN %; RESULTS ON CONSOLIDATED BASIS; **SOURCE** ACE EQUITY